WHAT IT COSTS TO OPEN

Medbury Healthcare Group

N102 million to open the clinic.

Paid once, before the doors open. The building itself is the landlord's: partitions, power, cooling and the general fit come back through the rent.

	What it is	N million
Clinical equipment for 5 rooms	Couches, monitors, ECG, instruments	**16.0**
Furniture and fit	Desks, seating, casework, finishes	**8.0**
IT and practice management	Booking, records, billing, workstations	**6.0**
Branding and signage	Alameda identity inside a Lyfe Place building	**3.0**
Launch campaign	Medical tourism is a considered purchase	**40.0**
Licences and registration	FCT, MDCN, corporate	**4.0**
Working capital	Payroll and payables to first collections	**25.0**
TOTAL TO OPEN		**102.0**

Only N33 million of it is the clinic. N40 million is the launch campaign and N25 million is working capital, because a new destination has to be marketed and has to pay its people before the first patient settles a bill.

WHAT IT COSTS TO RUN

Medbury Healthcare Group

N14.4 million a month to keep it open.

Falls due whether or not a patient comes through the door. This is year one; it grows to N19.7 million a month by year five.

	A month	Year 1	Year 5
Rent, service charge and the fitted space	4.4	53.1	83.6
Five staff, fully loaded	2.5	30.0	30.0
Marketing and demand generation	3.8	45.0	59.9
Flying the As-Salam consultants in	1.5	18.0	24.0
Their accommodation	0.8	10.0	13.3
Business travel	0.7	8.0	10.6
Office and administration	0.3	4.0	5.8
Contingency and miscellaneous	0.4	5.0	7.3
TOTAL	**14.4**	**173.1**	**236.5**

Rent is not a line of its own because Lyfe Place charges one all in figure. Inside the N53.1 million are three things: rent of N14.6 million, recovery of the fit-out the landlord paid for at N9.3 million, and a service charge of N29.2 million for power, security, cleaning, facilities and reception. Rent is 27 per cent of it.

WHAT A PATIENT IS WORTH

Medbury Healthcare Group

Every patient pays N95,037. You keep N64,737.

Year one. Nothing on this page is spent unless a patient is actually seen.

	Naira
Consultation fee	44,787
Diagnostic referral commission	8,400
As-Salam referral at 15%	41,850
What the patient pays	**95,037**
Clinician fee	(25,968)
Consultant share of the referral	(2,092)
Consumables	(2,239)
What it costs to serve them	**(30,300)**
WHAT YOU KEEP	**64,737**

223
PATIENTS A MONTH TO BREAK EVEN

282
PATIENTS A MONTH IN YEAR ONE

561
A MONTH ONCE THE ROOMS FILL

68%
OF EVERY NAIRA BILLED IS KEPT

The As-Salam referral is what makes this work. Take it away and what you keep falls to N24,980 a patient, and breakeven rises from 223 patients a month to 578 against the 282 you would see.